

Sportsmart Marketplace — Tax & GST Walkthrough

A plain-language explanation of every tax-related decision baked into the system, written for a non-technical reader to discuss with a Chartered Accountant.

Generated 2026-05-19 from the live codebase. Source-of-truth files are noted in each section.

What's inside

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Implementation status snapshot

Every section in this document describes the *design* behaviour. The system implements most of it end-to-end against real data. Three integrations are deliberately **stubbed** until production go-live, and a handful of items are **pre-launch** (the code is ready; the configuration / sign-off is not). Flag these four caveats to the CA explicitly before walking through the detailed sections.

✅ **Live and end-to-end (real data flows; admin can use today)**

Capability	Source-of-truth file
Tax engine math (CGST/SGST/IGST split, rounding, inclusive/exclusive)	<code>tax-engine.ts</code>
Place of Supply (intra-state vs inter-state)	<code>place-of-supply.service.ts</code>
Document-type picker (Tax Invoice / Bill of Supply / Mixed)	<code>document-type-picker.ts</code>
Document numbering per (GSTIN, FY) with Postgres-lock sequencing	<code>document-sequence.service.ts</code>
Section 52 TCS — ledger writes + GSTR-8 CSV	<code>tcs.service.ts</code> , <code>gstr8-report.service.ts</code>
Section 194-O TDS — ledger, Form 26Q CSV, Form 16A HTML	<code>tds-194o.service.ts</code> , <code>form-26q-report.service.ts</code>
Section 34 credit-note time-bar + daily classification cron	<code>credit-note-eligibility.service.ts</code> , <code>tax-credit-note-timebar.cron.ts</code>
GSTR-1 / 3B / 8 / 26Q / 16A admin downloads	<code>gstr1-report.service.ts</code> , <code>gstr3b-report.service.ts</code> , etc.
Marketplace's own GSTR-1 commission section (SAC 9985)	<code>marketplace-commission-gstr.service.ts</code>
HSN / UQC / TaxConfig / PlatformGstProfile admin CRUD	Rounds 12-15 admin pages
GSTIN Mod-36 checksum validation	<code>gstin-validator.ts</code>
Audit-readiness daily report (7 blocker classes + fix deep-links)	<code>tax-audit-readiness.service.ts</code>
B2B GSTIN picker at checkout (snapshot per order)	<code>master_orders.selected_tax_profile_id</code>
Discount tax-treatment categories (Section 15 — pre-supply transactional default)	Discount module
Tax-mode flag (OFF / AUDIT / STRICT) — code path	<code>tax-mode.service.ts</code>
India-states master + storefront address state-code dropdown	<code>india_states</code> + Round 8 UI

⚠️ **Stubbed today — real integration is post-launch work**

The provider factories crash loudly at boot if switched to the "real" choice without a real adapter — never silently fall back to a stub in production. Tell the CA: every stub is a known integration point, not a missing feature.

Stub	What it pretends to do	What the real adapter will do	Env switch
NIC IRP e-invoice provider	Returns a placeholder IRN, ackNo, ackDate, signed JSON, QR code URL	Register every B2B invoice with the NIC Invoice Registration Portal in real time per CBIC Rule 48(4)	EINVOICE_PROVIDER
NIC e-Waybill provider	Returns EWB-STUB-{uuid}	Generate the actual e-way bill via NIC e-Waybill API before dispatch per CBIC Rule 138	EWAY_BILL_PROVIDER
GSTN portal verification	Verifies via local Mod-36 checksum only; stamps isVerified=true	Live lookup on the GSTN sandbox/production API; verifies legal name + state + status	GSTN_PROVIDER
Tax PDF storage (S3)	In-memory stub — admin prints HTML to PDF from the browser	Generate PDF server-side and upload to S3 with signed download URLs	TAX_PDF_STORAGE_PROVIDER

Pre-launch — code ready; awaiting CA sign-off / configuration

Item	Current state	What unblocks it
Tax mode flipped to STRICT	Code paths exist and have been tested. System runs OFF or AUDIT today.	Audit-readiness shows zero blockers + CA sign-off on GST_ASSUMPTIONS.md
Sportsmart legal name, PAN, primary GSTIN, AATO band	Placeholders in GST_ASSUMPTIONS.md (legal name "Sportsmart Marketplace Pvt Ltd"; primary GSTIN 36AAAAA0000AZZZ)	CA confirms entity facts before strict-mode flip
HSN length tier (4 / 6 / 8 digits)	Config key required_hsn_length exists; default is 6 digits per the ₹5cr-₹10cr AATO assumption	CA confirms the AATO band; admin sets the matching tier
Composition seller invoice footer (Rule 49 wording)	Engineering draft is in GST_ASSUMPTIONS.md ; flagged "CA to verify exact wording"	CA approves the footer text
E-way bill per-state threshold overrides	Schema/config supports a JSON map; consumer reads the single global threshold today	CA names the states needing different thresholds; engineering wires the map read
B2B place-of-supply rule (shipping-state vs registered-state)	Current interpretation: shipping state (IGST Act §12(2)(a))	CA confirms the interpretation (or asks to switch to registered state)

Four things to say out loud to the CA before walking through this PDF:

1. NIC IRP, NIC e-Waybill and GSTN portal verification are **stubbed today**; the schema fields exist and admin pages exist, but the actual network call to the government portal is a placeholder. Real integration is post-launch work.
2. Tax PDF storage is **stubbed today**; admins use browser print-to-PDF until S3 is wired.
3. The system is currently in **OFF or AUDIT** mode. The **STRICT-mode flip** is gated on CA sign-off of `GST_ASSUMPTIONS.md` and zero audit-readiness blockers.
4. Sportsmart's entity details (legal name, PAN, primary GSTIN, AATO tier) are **placeholders** in the decision log — the CA fills them in before go-live.

1. The 10-second mental model

Sportsmart is an electronic-commerce *marketplace*: independent **sellers** list products; customers buy them; Sportsmart handles the storefront, payments, fulfilment, and statutory paperwork. Three statutory things happen on every sale:

What	Who pays	Who collects/deducts	Where it ends up
GST on the product (CGST + SGST or IGST)	Customer	The <i>seller</i> (we issue the invoice on their behalf)	Seller's GSTR-1 / GSTR-3B
TCS @ 1% (Section 52)	The seller (deducted from settlement)	Sportsmart (marketplace)	Our GSTR-8
TDS @ 1% (Section 194-O Income Tax)	The seller (deducted from settlement)	Sportsmart (marketplace)	Our Form 26Q + Form 16A

In addition, when Sportsmart earns commission from a seller, that commission is itself a *service supply* from Sportsmart to the seller under SAC 9985 — Sportsmart charges 18% GST on it and reports it on its **own** GSTR-1.

Why this is complex: for every order we have to (a) issue a GST-compliant invoice for the seller, (b) deduct TCS, (c) deduct TDS, (d) charge GST on our own commission, (e) handle returns within Section-34 time limits, and (f) report all of this in monthly/quarterly returns. The code automates all six and exposes admin pages to file the resulting statements.

2. The four parties on every order

1. **Customer** — the buyer. May be B2C (no GSTIN) or B2B (registered, with one or more GSTINs).
2. **Supplier** — the entity that is legally selling the goods. One of three kinds:
 - `MARKETPLACE_SELLER` — independent seller on the platform
 - `FRANCHISE` — franchise partner
 - `SPORTSMART` — Sportsmart-direct supplies
3. **Marketplace** — Sportsmart itself. For seller and franchise supplies, the marketplace is an *operator* under Section 52 (TCS) and a *person responsible for payment* under Section 194-O

(TDS). For SPORTSMART-direct supplies, the marketplace IS the supplier.

4. **Government** — CBIC for GST; CBDT for Income-Tax TDS. Both consume statutory returns that the admin team downloads from this system and files.

3. How the GST math runs on a line

Every cart line goes through a single pure function (file: `apps/api/src/modules/tax/domain/tax-engine.ts`). Inputs:

- Gross amount (paise) — the price × quantity
- Discount (paise) — already allocated to this line
- GST rate (basis points; `1800` = 18%)
- Cess rate (basis points; default 0)
- Whether price *includes* tax (B2C convention: yes) or *excludes* tax
- Intra-state? (true → CGST + SGST; false → IGST)
- Supply taxability (`TAXABLE` , `NIL_RATED` , `EXEMPT` , `NON_GST` , `ZERO_RATED` , `OUT_OF_SCOPE`)

Output (per line):

```
{ taxableInPaise, cgstInPaise, sgstInPaise, igstInPaise,
  cessInPaise, totalTaxInPaise, lineTotalInPaise }
```

Invariants the engine enforces

- `cgst + sgst + igst === totalTax`
- `taxable + totalTax + cess === lineTotal` (no penny ever lost in rounding)
- For intra-state: CGST = SGST = half of total GST (with SGST derived as `totalTax - CGST` so the sum is exact)

Rounding

Each component is computed in `BigInt` paise using "half away from zero" rounding. The invoice grand total is rounded to the nearest whole rupee, and the difference (positive or negative) is shown as a **Round-off** line in line with CBIC convention.

Inclusive vs exclusive pricing

Mode	Used for	How the engine handles it
GST-inclusive (default for B2C catalog)	Storefront retail prices	The displayed MRP already includes tax. The engine "backs out" the tax: <code>taxable = price ÷ (1 + rate)</code> , <code>tax = price - taxable</code> .
GST-exclusive	B2B / wholesale	Tax is added on top: <code>taxable = price</code> , <code>tax = price × rate</code> .

4. Place of Supply — intra-state vs inter-state

Indian GST splits a supply's tax based on where the recipient is, relative to the supplier:

- **Same state** (supplier state = customer state) → **CGST + SGST** (half / half)
- **Different state** → **IGST** (full rate)

How each party's state is determined

Party	Source of the 2-digit GST state code
Customer (B2C)	Shipping address. State name resolved against the 38-row <code>india_states</code> CBIC master, OR the new <code>state_code</code> column on the address (Phase 34 — dropdown-driven).
Customer (B2B)	Same as B2C — POS source is the shipping address state , NOT the billing/GSTIN state (assumption #44 in the decision log; CA to confirm).
Seller	Seller's primary GSTIN's state (first 2 digits of the 15-char GSTIN).
Franchise	Franchise's registered GSTIN state.
SPORTSMART	<code>platform_gst_profiles.gstStateCode</code> for the row marked <code>isDefault=true</code> .

CA confirm: for B2B orders where the customer has supplied a GSTIN, IGST Act §12(2)(a) is being interpreted to mean POS = recipient's *shipping state*. If your interpretation requires POS = recipient's *registered state*, this is a flag to change.

5. Discounts and how they interact with GST

Indian GST law (CGST Act Section 15) requires discount to be applied **before** GST when it's a pre-supply transactional discount established at the time of supply. The engine treats coupon/promo discounts this way by default. Three discount kinds are distinguished:

Kind	Tax treatment	Example
<code>PRE_SUPPLY_TRANSACTIONAL</code>	Reduces taxable value at sale time. Lower taxable → lower GST.	Coupon "FLAT200"
<code>POST_SUPPLY_LINKED</code>	Adjusted after sale via a Credit Note linked to original invoice. Reverses GST.	Quarterly volume rebate
<code>POST_SUPPLY_UNLINKED</code>	No GST reversal possible (Section 34 ineligible). Booked as wallet credit / goodwill.	Ad-hoc admin write-off
<code>DISPLAY_ONLY</code>	Just an MRP slash for marketing. Taxable value = the actual price charged.	"₹2,499 / ₹3,499 "

6. Document types — what gets issued and when

File: `apps/api/src/modules/tax/domain/document-type-picker.ts`. Logic is a pure function:

Seller registration	Supply mix	Document issued	Section
REGULAR	All taxable	Tax Invoice	Section 31
REGULAR	Mixed taxable + exempt	Invoice-cum-Bill of Supply	Rule 46A
REGULAR	All exempt / NIL / non-GST	Bill of Supply	Section 31(3)(c)
COMPOSITION	Any	Bill of Supply (no GST collected)	Section 31(3)(c), Rule 49
UNREGISTERED	Any	Bill of Supply	—

Document numbering

Per-(GSTIN, financial year) sequence. Format examples:

- Tax Invoice: SM-INV-000001
- Bill of Supply: SM-BOS-000001
- Credit Note: SM-CN-000001
- Debit Note: SM-DN-000001
- Legacy Receipt (pre-strict-mode, no GSTIN): SM-LR-000001

Max 16 chars per CBIC rule. Allowed characters: A-Z 0-9 / - . Sequence is locked at the database level (Postgres SERIALIZABLE transaction on the `document_sequences` table) so two parallel writes can never get the same number. Cancelled numbers are kept in `skippedNumbers` — never reused.

When the invoice is generated

Payment	Trigger
Online (prepaid)	Order reaches <code>paymentStatus=PAID</code> AND <code>subOrder.acceptStatus=ACCEPTED</code>
COD	Sub-order reaches <code>fulfillmentStatus=PACKED</code> (just before dispatch)

Invoice cancellation

Within the IRN window (24 hours after IRN, when e-invoicing is live): cancel through NIC IRP. After the window or for non-IRN documents: **no in-place cancellation** — issue a Credit Note (full reversal) and a fresh Invoice instead. Cancelled document numbers are preserved on the row and never reused.

7. Section 52 — TCS (1%)

As an e-commerce operator, the marketplace collects Tax Collected at Source @ 1% on the *net* taxable supplies of every marketplace seller (and franchise) it processes. This is paid into the Government's GST account against the seller's GSTIN.

Topic	Behaviour
Rate	100 basis points = 1%
Split (intra-state)	CGST-TCS 50 bps + SGST-TCS 50 bps
Split (inter-state)	IGST-TCS 100 bps
Base	Net taxable supplies = gross supplies – returns – exempt – non-GST, in the filing period
Timing	Computed at settlement run (per Section 52 — at credit to seller's account)
Filing period	Calendar month
Applies to	MARKETPLACE_SELLER + FRANCHISE
Does NOT apply to	SPORTSMART (we ARE the supplier)
Return	GSTR-8 by the 10th of the next month (we generate CSV; admin files via GSTN portal)

Each TCS deduction lands in `gst_tcs_settlement_ledger`. Status moves **PENDING** → **FILED** → **PAID_T0_G0VT** via admin actions on the Tax dashboard (GSTR-8 section).

8. Section 194-O — Income-Tax TDS (1%)

A separate statute (Income-Tax Act, not GST). Section 194-O makes the e-commerce operator the *person responsible* for deducting TDS @ 1% on the **gross** sale value (including GST) paid through the marketplace to a participating seller.

Topic	Behaviour
Rate	1% of gross sale value (incl. GST), 5% if seller has no PAN
Threshold for individual/HUF sellers	₹5 lakh aggregate per FY — sellers below get exempted via an admin attestation flag (<code>seller.is1940Exempt</code>)
Timing	At settlement payout to the seller
Return	Form 26Q quarterly (CSV download; admin files via TIN-FC or e-filing)
Certificate to seller	Form 16A quarterly (HTML page; admin "Print → Save as PDF")
Lifecycle	PENDING → DEPOSITED → CERTIFICATE_ISSUED via the admin TDS dashboard

Settlement payout to the seller = (gross order value) – (commission + commission GST) – (TCS deducted) – (TDS deducted). All four deductions appear on the seller's payout statement.

9. Section 34 — Credit Notes and the 30-September time-bar

CGST Act Section 34(2) lets a supplier reduce their output GST liability by issuing a Credit Note **only if** the credit note is declared in a return filed on or before:

30 September of the financial year FOLLOWING the year of supply.

Example: an invoice issued on 12 January 2026 (FY 2025-26) can be credit-noted up to 30 September 2026.

Returns approved after this cutoff cannot reduce GST — the platform absorbs the GST cost and the customer is refunded via wallet credit instead. A daily cron (`tax_credit_note_timebar.cron.ts`) classifies every QC-approved return into one of three buckets:

Status	Meaning	What happens
ELIGIBLE	Inside the Section-34 window	System issues a Credit Note + reverses GST on filings
TIME_BARRED	Past 30 Sept of FY+1	No GST reversal. Refund via wallet credit. Customer-facing line: "Refund processed. GST adjustment is not available for this return due to statutory reporting timelines."
REQUIRES_FINANCE_REVIEW	Borderline (within 7 days of cutoff, or unusual invoice state)	Lands on the admin Time-bar Review queue. A finance lead chooses Credit Note OR wallet credit manually.

10. Returns — refund / credit note / wallet

Every customer return that passes QC falls into one of three refund paths, chosen by the eligibility classifier above:

1. **Real Credit Note** — reduces the seller's output GST in the filing period the CN is declared. The system writes a `CREDIT_NOTE` document (own number, own number sequence) linked to the original invoice. Customer refund + GST reversal both happen.
2. **Wallet adjustment** — when CN is not eligible (time-barred, unlinked discount, goodwill, etc.), a wallet credit is issued. No GST is reversed. Two-step admin approval is required when the amount exceeds the configured threshold (`goodwill_approval_threshold_paise`).
3. **Mixed** — partial returns where some lines are CN-eligible and others are wallet-only.

The customer's return-detail page now shows both: a Credit Note card with the CN number/date/amount, and a Wallet Credit card with the wallet ledger ID and reason.

11. E-Invoicing (IRN / QR)

CBIC Rule 48(4) — B2B invoices from suppliers above the prescribed aggregate annual turnover (currently ₹5 crore per Aug-2023 notification) must be registered with the NIC Invoice Registration Portal (IRP) before they can be issued. The portal returns an Invoice Reference Number (IRN), a signed JSON, and a QR code. The B2C invoice is not subject to IRN (today; may change with future thresholds).

Status	Today
Schema	Ready: <code>irn</code> , <code>ackNo</code> , <code>ackDate</code> , <code>signedDocumentJson</code> , <code>qrCodeUrl</code> , <code>einvoiceStatus</code> columns on every <code>tax_document</code> row
Provider	Stub (logs payload, returns placeholder IRN). The selector at <code>EINVOICE_PROVIDER</code> env crashes loudly if set to <code>nic</code> without a real adapter — no silent fallback to stub in production.
Applicability check	Wired in <code>einvoice-applicability.ts</code> . Looks at the seller's <code>aggregateTurnoverInPaise</code> + opt-in flag. If a seller is sub-threshold but has elected in (<code>einvoiceOptedIn=true</code>), it still applies.
Retry cron	Yes — failed IRN registrations queue and retry on a daily cron (<code>einvoice-retry.cron.ts</code>).
Cancellation window	24 hours from IRN generation (CBIC). Past that → Credit Note / Debit Note path.

CA decision pending: whether Sportsmart itself crosses the ₹5 crore AATO threshold and must apply IRN to its OWN GSTR-1 commission invoices to sellers. Currently assumed "yes" once aggregate platform commission revenue crosses the bar.

12. E-Way Bill

CBIC Rule 138 — when a consignment value exceeds ₹50,000 (default), an electronic waybill must be generated before the goods move. The marketplace generates the EWB on behalf of the seller before dispatch.

Topic	Behaviour
Threshold	₹50,000 single-national default (<code>eway_bill_threshold_paise</code> = 5000000). Per-state overrides supported.
Generation timing	Before dispatch (sub-order is being marked PACKED → SHIPPED)
Validity	Standard NIC slabs: ≤100 km = 1 day; +200 km / day after that
Provider	Stub today (returns <code>EWB-STUB-{uuid}</code>); NIC e-Waybill API integration pending
Failure	AdminTask <code>EWAY_BILL_GENERATION_FAILED</code> + retry on cron
Ship-block	STRICT mode: yes (cannot ship without EWB); OFF / AUDIT: warn-only

13. GSTR filings — what the system gives admin

The admin dashboard at `/dashboard/tax` offers downloadable CSVs for every statutory return. Admin uploads / files via the GSTN portal — the system itself does NOT auto-file.

Return	Frequency	What's in it	Generated by
GSTR-1 (per seller)	Monthly	§4 B2B, §5 B2C-Large, §7 B2C-Small, §9B Credit Notes, §12 HSN summary, §13 Documents Issued	gstr1-report.service.ts
GSTR-3B (per seller)	Monthly	Summary of outward + inward + ITC + tax payable	gstr3b-report.service.ts
GSTR-8 (platform-wide)	Monthly	TCS collected on every supplier	gstr8-report.service.ts
Form 26Q (platform-wide)	Quarterly	TDS deducted under Section 194-O	form-26q-report.service.ts
Form 16A (per deductee)	Quarterly	TDS certificate to issue to each seller	form-26q-report.service.ts → HTML render
Marketplace GSTR-1 commission	Monthly	SAC 9985 outward supplies per (seller, state)	marketplace-commission-gstr.service.ts

14. Form 26Q and Form 16A in detail

Form 26Q is the **quarterly TDS return** filed by every TDS deductor under the Income Tax Act. Form 16A is the **TDS certificate** issued to each deductee (each seller) for the same quarter.

The TDS lifecycle the admin runs

1. System auto-creates a `section_194o_tds_ledger` row per (seller, quarter) at settlement.
2. Status starts as `PENDING`.
3. Admin downloads the Form 26Q CSV from `/dashboard/tax/tds194o`, files via TIN-FC, and clicks **Mark DEPOSITED**. Status → `DEPOSITED`, with a UTR reference saved.
4. Admin then generates Form 16A per ledger row (one per seller-quarter), prints to PDF, and emails the seller. Status → `CERTIFICATE_ISSUED`.

Form 16A — what's on the certificate

- Deductor (Sportsmart) name, address, TAN, PAN
- Deductee (seller) name, address, PAN, GSTIN
- Section 194-O statement; quarter (Q1 / Q2 / Q3 / Q4); FY
- Sale value facilitated under §194-O (gross)
- TDS deducted (1% of gross)
- TDS deposited date + challan reference (UTR)
- Verification by deductor

15. The marketplace's OWN GSTR-1 commission section

Distinct from the per-seller GSTR-1 above. When Sportsmart earns commission from a seller, that commission is a service supply by Sportsmart to the seller — taxable under SAC **9985** @ 18%.

The export at `/dashboard/tax` (Marketplace GSTR-1 commission section) returns a CSV grouped per (seller GSTIN, state) for the filing period:

- Recipient GSTIN (the seller)
- Recipient legal name
- Recipient state code
- Filing Period
- SAC Code (9985)
- Rate (18%)
- Taxable Value (commission in rupees)
- CGST, SGST, IGST
- Total GST
- Tax split (CGST_SGST or IGST)
- Number of constituent settlements

Admin imports this CSV into Sportsmart's own GSTR-1 filing, alongside the per-seller §4 / §7 sections.

16. Master data

Table	What it holds	Admin page
<code>india_states</code>	The 38 CBIC GST state codes (28 states + 8 UTs + special regions)	Read-only seeded; storefront state dropdown
<code>hsn_master</code>	HSN codes + default GST rates + effective-dated rate changes	<code>/dashboard/tax/hsn-master</code>
<code>uqc_master</code>	Unit Quantity Codes (NOS, PCS, KGS, etc.) — every invoice line must declare one	<code>/dashboard/tax/uqc-master</code>
<code>tax_config</code>	Key/value runtime knobs (EWB threshold, TCS rate, shipping SAC, etc.)	<code>/dashboard/tax/config</code>
<code>platform_gst_profiles</code>	Sportsmart's own GSTIN(s) — one default + extras per state	<code>/dashboard/tax/platform-gst</code>
<code>seller_gstins</code>	One row per seller GSTIN + verification audit	<code>/dashboard/tax/seller-gstins</code>
<code>customer_tax_profiles</code>	B2B customer GSTINs + verification	<code>/dashboard/tax/customer-tax-profiles</code>

Important defaults baked into `tax_config`

Key	Default	Used for
eway_bill_threshold_paise	5000000 (₹50,000)	EWB applicability threshold
shipping_sac_code	"9968"	SAC on every shipping line
shipping_gst_rate_bps	1800 (18%)	Shipping GST rate
tcs_rate_bps	100 (1%)	Section 52 TCS rate
default_gst_rate_bps_test_mode	1800	Fallback only when tax mode is OFF / AUDIT and HSN is missing
goodwill_approval_threshold_paise	500000 (₹5,000)	Wallet credit threshold above which 2-step admin approval is required
section_34_window_cutoff_month	9 (September)	Section 34 credit-note time-bar month
required_hsn_length	6	Per ₹5cr–₹10cr AATO tier

17. B2B vs B2C and the GSTIN picker at checkout

A customer with at least one validated `CustomerTaxProfile` can pick which GSTIN this order's invoice goes against. The chosen profile ID is snapshotted on `master_orders.selected_tax_profile_id` and the invoice-generation service prefers it over the customer's global default.

How many profiles	Checkout UI
0	"Personal (B2C) invoice" with an "Add GSTIN" link
1	Read-only card showing the profile + a "Change" link
2 or more	Dropdown of every profile, default selected

GSTIN is validated client-side (regex) and server-side (Mod-36 checksum). Admin can verify against the GSTN portal (currently stub; sandbox API integration planned) and stamp `isVerified=true`.

18. Supplier types — marketplace-seller vs franchise vs Sportsmart-direct

Supplier type	Who issues the invoice (party)	TCS deduction?	TDS deduction?	POS supplier state
MARKETPLACE_SELLER	Seller (we generate it on their behalf)	Yes (1%)	Yes (1%)	Seller GSTIN state
FRANCHISE	Franchise	Yes	Yes	Franchise GSTIN state
SPORTSMART	Sportsmart (default platform GST profile)	No (we are the supplier)	No	Platform GST profile state

19. Tax modes — OFF / AUDIT / STRICT

A single environment flag controls how strictly the system enforces tax data on checkout and invoice generation. Set via the Tax dashboard.

Mode	Behaviour	Use case
OFF	Permissive. Missing HSN / rate / GSTIN — log warning, proceed with sensible defaults. DRAFT watermark on invoices.	Dev / early staging
AUDIT	Same validation as STRICT, but failures are logged, not thrown . Lets us see "how many orders would block in production" without blocking real customers.	Staging soak before go-live
STRICT	Production posture. Checkouts and invoice generation throw on missing tax data. DRAFT watermark suppressed.	Production after CA sign-off

The flip from AUDIT to STRICT is gated on the **Audit-Readiness** report showing zero blockers.

20. Audit-readiness blockers

Daily report scans for conditions that would cause a strict-mode checkout/invoice failure. Each blocker has a count, sample row IDs, and (now) a "Fix" link to the admin page where it's resolvable.

Code	What it means	Fix page
product.missing_hsn	Approved product with TAXABLE taxability but no HSN code	Web-admin product edit OR /dashboard/products/bulk-tax-config
product.missing_rate	Approved product with HSN but no GST rate	Same as above
seller.missing_gstin	Active seller without a primary GSTIN row	/dashboard/tax/seller-gstins
einvoice.unresolved	B2B invoice whose IRN never came back (stuck in PENDING)	/dashboard/tax/einvoices
pdf.unresolved	Invoice whose PDF generation failed	/dashboard/tax/einvoices (same surface)
tcs.unfiled	GSTR-8 row still in PENDING past the 10th of the next month	GSTR-8 section on /dashboard/tax
timebar.requires_review	Return classified as REQUIRES_FINANCE_REVIEW	/dashboard/tax/timebar-review

21. Retention and erasure

CGST Act Section 36 — retain books / records for at least 72 months from the end of the FY of the supply. Our defaults match:

Record class	Retention
Tax documents (invoices, credit notes, BoS)	72 months
PDFs	72 months
TCS + TDS ledgers	72 months
E-way bills	72 months
Tax-related audit log	72 months
Wallet adjustments (non-tax goodwill)	24 months

GDPR / DPDP *right-to-erasure*: tax records are excluded from delete. The system may anonymise PII (name, contact) on the row but the GSTIN, document number, amounts, and tax columns are statutorily retained.

22. Open items deferred to post-launch

- Real NIC e-waybill API integration (stub today)
- Real NIC IRP integration for e-invoice IRN (stub today)
- Live GSTN portal verification for seller/customer GSTINs (stub today; uses local Mod-36 checksum only)
- GST input credit on the platform's own purchases (out of scope — BAU CA work)
- Stock transfer / branch transfer flows (Sportsmart-direct supply is single-warehouse today)
- Section 9(5) services (Sportsmart is goods-only)
- Compensation cess (no current sports HSN attracts cess; framework exists)
- Reverse charge for unregistered suppliers buying from Sportsmart (rare; admin flag)
- Automated CSV upload to GSTN portal (admin manual upload today)

23. Quick CA-meeting checklist

Bring this to the meeting and walk down the list. Each item is an engineering assumption that the system already runs on — the CA's job is to confirm or correct it before the strict-mode flip.

1. **Identity:** confirm the Sportsmart legal entity name, PAN, and primary GSTIN(s); state-wise GSTINs if any.
2. **AATO tier:** confirm Sportsmart's aggregate annual turnover band — drives HSN length (4/6/8 digits) and e-invoicing applicability.
3. **POS rule for B2B with GSTIN:** confirm IGST Act §12(2)(a) is interpreted as "recipient's shipping state" (current assumption) or "recipient's registered state".
4. **Discount treatment:** confirm coupon discounts are PRE_SUPPLY_TRANSACTIONAL (reduce taxable value at sale).
5. **GST-inclusive default:** confirm B2C catalog prices are GST-inclusive (CBIC convention); admin can flip per product.
6. **Shipping:** confirm SAC 9968 @ 18% for postal/courier. Confirm shipping NOT refunded on returns by default.
7. **Convenience / COD / gift-wrap fees:** confirm SAC 9985 @ 18% (other support services).

8. **Document numbering:** confirm `SM-INV-NNNNNN` , etc., per (GSTIN, FY) is acceptable.
9. **Section 34 time-bar:** confirm 30 September of FY+1 cutoff, and that time-barred returns go through wallet (not CN).
10. **TCS rate:** confirm 1% (CGST-TCS 0.5 + SGST-TCS 0.5 intra-state; IGST-TCS 1 inter-state). Confirm filing cadence is monthly GSTR-8 by the 10th.
11. **TDS rate:** confirm 1% under Section 194-O (5% no-PAN). Confirm Form 26Q quarterly + Form 16A certificate cadence.
12. **Composition seller:** confirm Bill of Supply, no GST collected, Rule 49 footer text.
13. **Mixed taxable + exempt:** confirm Invoice-cum-Bill of Supply (Rule 46A).
14. **E-invoicing threshold:** confirm ₹5 crore AATO triggers IRN for the B2B invoices Sportsmart issues to sellers (commission billing); confirm B2C is outside IRN scope today.
15. **E-way bill threshold:** confirm ₹50,000 single-national; flag any state-specific override needed (some states have lower thresholds for select goods).
16. **Retention:** confirm 72 months from end of FY (Section 36).
17. **Strict-mode go-live date:** agree on a date — Audit-Readiness must show zero blockers before the flip.

Where to find the live decision log: `docs/tax/GST_ASSUMPTIONS.md` in the codebase. Every row has an "Engineering assumption" + an empty "CA decision" column. Filled-in decisions update that file as the contract going forward.

Files referenced in this document live under `apps/api/src/modules/tax/` and `docs/tax/` . The latter (`CA.md` , `GST_ASSUMPTIONS.md`) is the long-form CA-facing companion; this PDF is the shorter conversational version.

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